BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Consolidated Edison Company of New York, Inc. for Electric and Gas Service.

Cases 25-E-0072, 25-G-0073

April 10, 2025

Update Testimony of:

Customer Operations Panel

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CONSOLIDATED EDISON COMPANY OF NEW YORK, INC.
CUSTOMER OPERATIONS PANEL UPDATE TESTIMONY

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I. Introduction

Q. Please state the members of the Customer Operations Panel.

A. Michael Murphy, Rebecca Roberts, Khadedra Hall, Eric Mastroianni, Matthew Sexton, Jon Minners, and Robert Buck.

Q. Has this Panel previously submitted testimony in this proceeding?

A. Yes, we submitted initial testimony on January 31, 2025 (the "Initial Testimony").

Q. What is the purpose of the Panel's update testimony?

A. Our update testimony:

- Corrects and clarifies statements from our Initial Testimony.
- Updates the forecasted O&M expenditures for the Arrears Management and Contact Center Staffing and Training programs based on updated arrears reduction results, which support a reduced request.

Q. Does this update change the O&M program cost changes for Customer Operations in your Initial Testimony?

A. Yes. In our Initial Testimony, the Company requested an increase of $79,533,000 for program changes in RY1, a further increase of $8,195,000 for program changes in RY2,

and a further increase of $1,786,000 for program changes in RY3.

Through this update, the program cost changes are revised to an increase of $64,069,000 in RY1, a further increase of $10,686,000 in RY2, and a further increase of $1,786,000 for program changes in RY3. The change for RY1 represents a reduction of $15,464,000 from the Initial Testimony, and the change for RY2 represents an increase of $2,491,000.

These amounts are summarized in Exhibit__(CO-01 UPDATE) O&M Program Changes, with the full time equivalent ("FTE") staffing requests summarized in Exhibit__(CO-02-UPDATE) FTE Summary.

Q. Does the Company reference discovery items within its Customer Operations update testimony?

A. Yes, the Company references responses to several discovery items throughout the testimony. Referenced responses are included in Exhibit__(CO-15)_Interrogatory Responses.

Q. Was this exhibit prepared under the Panel's supervision and direction?

A. Yes.

II. Corrections and Clarifications

Q. Does the Company have any corrections or clarifications to its Initial Testimony?

A. Yes. Please note the following:

- On page 18, the Company's testimony inadvertently omitted the word "from" from its statement that the Company was "down 160 field agents from before the pandemic." The Company should have said that it was down from that number, which also included associated management employees. This was clarified in the Company's response to DPS-11-347(1).
- On page 36 regarding the Meter No Access and Replevin Program, the Company referenced teams of two Senior Customer Field Representatives ("SCFRs") resolving meter issues. These SCFRs often work individually.
- On page 54, the Company said that its third-party email provider, Questline, is also developing a program to enable customers to translate emails into multiple languages. This translation widget was initially implemented in fall 2024, as referenced in

the Company's response to DPS-13-379(5), but requires ongoing maintenance.

Q. Does the Company have any corrections to its exhibits?

A. Yes. Please note the following corrections:

- In Exhibit__(CO-05)_Meter and Billing Resources, the Company did not break out the labor and non-labor costs in Attachment 1_Meter and Billing Resources Request Detail. The specific labor and non-labor request details are revised in Exhibit__(CO-05-UPDATE)_Meter and Billing Resources. This correction does not impact the Company's revenue requirement. As discussed in the white paper, these non-labor costs are uniforms, equipment, and "no access" letter costs for the Meter No Access and Replevin Program.
- In Exhibit__(CO-08)_Customer Outreach and Education, the 2025 budget provided excluded $16,400 in outreach communications for EAP customers that should have been captured under the "initial email communications" line item. This was corrected in the Annual Outreach and Education Report filed on April 1, 2025, in Cases 22-E-0064, 22-G-0065, and 17-M-

0475. This is a 2025 budget correction to Exhibit__(CO-08) related to an error in calculations and does not impact the RY1-3 request.

III. Update

A. Arrears Management Program

Q. Please explain your update to the Arrears Management Program.

A. The Company updated the total number of Customer Field Representatives ("CFRs") and supervisors it is requesting and reduced the request total O&M request related to digital outreach for arrears management.

Q. Does the Company have an updated white paper explaining this update?

A. Yes, an updated white paper and program request details are provided in Exhibit__(CO-03-UPDATE)_Arrears Management Program.

Q. Was this exhibit prepared under the Panel's direction and supervision?

A. Yes.

Q. Why has the Company updated the Arrears Management Program?

A. The Company has updated the Arrears Management Program to reflect that reductions in arrears are currently trending slightly ahead of the Company's original forecasts.

Q. Please summarize the updated Arrears Management Program request.

A. The Company originally intended to hire 150 provisional CFRs. This number is now reduced by 100, to a total of 50 provisional CFRs. This number of total provisional CFRs will stay consistent across RY2 and RY3, rather than scale down by 50 FTEs as originally planned.

In addition, the Company will not hire five supervisors who would have supervised these 100 provisional CFRs but are no longer required. Non-labor expenses corresponding to these 100 provisional CFRs, such as supplies and uniforms, have also been reduced.

The Company has also reduced some of its request for non-labor expenses associated with digital engagement via email program and a planned collections SMS text message program.

Q. How did the Company arrive at need for 105 fewer FTEs for this program?

A. This reduction is due to the better-than-expected reductions in arrears seen through this early stage of the Company's arrears management plan. Through February 2025, the arrears balance was approximately $1.4 billion for approximately 500,000 customers in arrears, compared to an initial forecast for February arrears of $1.65 billion.

Q. Does this change affect the Company's recommendation for this project/program?

A. No. The reduction in FTEs is a result of initial progress and the decision to continue evaluating the impact of the Company's scaled approach. Neither factor changes the underlying need for more resources to reduce the approximately $1.4 billion in customer arrears. For example, to make significant long-term progress on arrears, communications with customers before a field visit will need to continue to increase, as will the Company's capacity to make visits to engage customers in the field to prevent the continued accumulation of past due balances.

Q. Please provide a detailed schedule of the forecasted FTEs by year and how it compares to the Company's initial filing.

A. As of April 2, 2025, the Company has hired 218 FTEs dedicated to collections activities: 208 CFRs and 10 management employees. The Company expects to hire an additional 29 CFRs, 16 Customer Service Representatives ("CSRs"), and 15 management employees by June 2025.

Q. Please give additional detail on each FTE forecasted.

A. Please see Exhibit__(CO-03-UPDATE) for information on the job titles, expected hire dates, job descriptions, and the assumed salaries for each incremental FTE.

Q. What changes is the Company making to its plans for digital engagement?

A. Due to better-than-expected arrears reduction efforts to date, the Company is adjusting its planned digital engagement efforts to reduce the volume of emails and texts sent to customers. The Company continues to be committed to digital engagement as initial results demonstrate that these efforts are a cost-effective collections activity that can reduce the need for more costly, labor-intensive field visits.

Q. What is the effect of this update on the Company's rate request?

A. The Company initially requested an O&M increase of $26,770,000 for the Arrears Management Program beginning in RY1, with an incremental decrease of $2,557,000 in RY2 and a further incremental decrease of $23,000 in RY3.

With this update, the revised request is an O&M increase of $19,670,000 in RY1, with an incremental increase of $43,000 in RY2 and an incremental decrease of $23,000 in RY3.

B. Contact Center Staffing and Training Program

Q. Please explain your update to the Contact Center Staffing and Training Program.

A. The Company updated its staffing forecast and related FTE request to reduce planned hiring by a total of 97 FTEs.

Q. Does the Company have an updated white paper explaining this update?

A. Yes, an updated white paper and program request details are provided in Exhibit__(CO-04-UPDATE)_Contact Center Staffing and Training Program.

Q. Was this exhibit prepared under the Panel's direction and supervision?

A. Yes.

Q. Why has the Company updated the Contact Center Staffing and Training request?

A. The Company is updating its Contact Center Staffing and Training request due to the improved performance in arrears mitigation experienced thus far in 2025. The Contact Center Staffing and Training request is tied in part to the Company's request for additional collection resources; its reduction in that request impacts the Contact Center request. The updated workpaper detailing the justification for the requested resources is available in Exhibit__(CO-04-UPDATE)_Attachment I – Call Center Staffing and Training Workpaper, submitted alongside updated white papers and exhibits.

Q. Please summarize the updated FTE request.

A. The Company will reduce its request for additional CSRs from 300 to 210 FTEs. This adjustment is based on a smaller projected collections impact on inbound call volumes and a decreased need for CSRs dedicated to outbound calling efforts. Of these 210 CSRs, 160 will focus on inbound capacity to maintain adequate service levels and 50 will be dedicated to outbound collections calling to proactively prompt customers for payment.

As a result of the reduction in the number of incremental CSRs, the Company will also need fewer incremental management employees, with a reduction of five Supervisors (1H) in the Call Centers based on the 16:1 ratio of CSRs per supervisor. With fewer new CSRs needing training, the Company is also reducing its request by two Supervisors (1H) within the Training and Enrichment team.

Q. Are there any other changes to management FTEs from the original request?

A. The Company adjusted the function of one Section Manager role. Originally, that role was dedicated to the Outbound Call Center. Now, instead, that manager will oversee the expanded staff of supervisors and monitor the progress and strategy for more than 100 incremental CSRs handling inbound calls.

Q. Does this change affect the Company’s recommendation for this program?

A. No. The Company still needs to increase staffing to effectively manage rising call volume and complexity, allowing it to meet service standards in this evolving landscape.

Q. Please provide a detailed schedule of the forecasted FTEs by year and how it compares to the Company's initial filing.

A. The Company still plans to hire 171 FTEs prior to RY1, consistent with the Company's initial testimony. Approximately 110 of these resources were hired in 2024, after accounting for attrition. The Company plans to hire the balance of the remaining 61 linking period positions by the end of 2025. The Company anticipates hiring 65 employees in RY1, down from 162 in its initial testimony.

Q. Please give additional detail on each FTE forecasted.

A. Please see Exhibit__(CO-04-UPDATE) for information on the job titles, expected hire dates, job descriptions, and the assumed salaries for each incremental FTE.

Q. What is the effect of this update on the Company's rate request?

A. The Company initially requested an O&M increase of $30,336,000 for the Contact Center Staffing and Training Program beginning in RY1, followed by an incremental increase of $872,000 in RY2 and no further change in RY3.

With this update, the Company is requesting an increase of $21,972,000 beginning in RY1, followed by an

incremental increase of $763,000 in RY2 and no further change in RY3.

Q. Does this conclude your update testimony?

A. Yes, it does.